

Reliance Industries Ltd

RELIANCE · NSE · Energy · Petroleum · Retail · Telecom

CMP: ■1,334

Market Cap
■17.7L Cr

52W H: ■1,611.8
52W L: ■1,253.2
Face Value: ■10

P/E Ratio

18.8x

Fair — below 5Y avg 22x

P/B Ratio

2.04x

Fair

EV/EBITDA

~9.5x

Slightly cheap vs sector

Market Cap

■17.7L Cr

Large Cap — India #1

ROE

8.8%

Weak — below 10% threshold

ROCE

9.18%

Weak — below 10% threshold

D/E Ratio

~0.7x

Safe — below 1.0

Dividend Yield

0.87%

Low payout (7.4% of profits)

COMPANY OVERVIEW

Reliance Industries Ltd (RIL) is India's largest private sector corporation by revenue and market capitalisation, headquartered in Mumbai. Founded by Dhirubhai Ambani in 1966, RIL operates across Petroleum Refining & Petrochemicals, Retail (Reliance Retail — India's largest retailer), and Telecom (Jio Platforms — 460M+ subscribers). The Mukesh Ambani family holds ~50% promoter stake. RIL is a Fortune 500 company and ranks #45 on the Forbes Global 2000 (2025).

CUSTOM SKILL CONFIGURATION

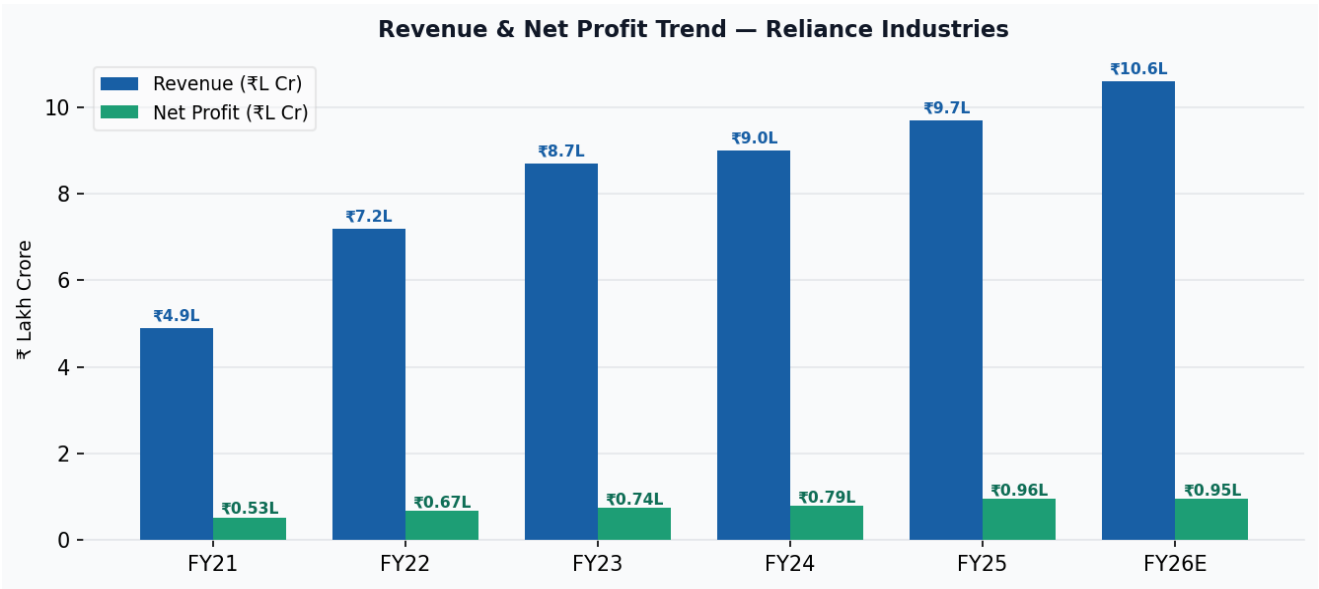
Configuration Key	Value
Skill Name	stock-fundamental-research
Mode Triggered	Quick Take → Deep Dive (live demo)
Data Sources Priority	Screener.in → Tickertape → Moneycontrol → NSE → BSE
Cross-Verified Fields	CMP, P/E, D/E, ROE, ROCE, Promoter Holding (≥2 sources)
Chart Engine	TradingView Widget + Matplotlib (Agg backend)
Output Formats	Quick Take · Deep Dive (HTML) · Compare · Pros & Cons · Portfolio Fit
Fabrication Policy	ZERO — ■ flag used if data unavailable
Advice Policy	No buy/sell/hold · No target prices · Educational only
Closing Line	Appended to every output automatically
Data Confidence	High — cross-checked Jun 19–20, 2026

Sources: Screener.in · Dhan.co · ICICI Direct · INDmoney · StockInvest.us

GENERATED REPORT — FINANCIAL CHARTS

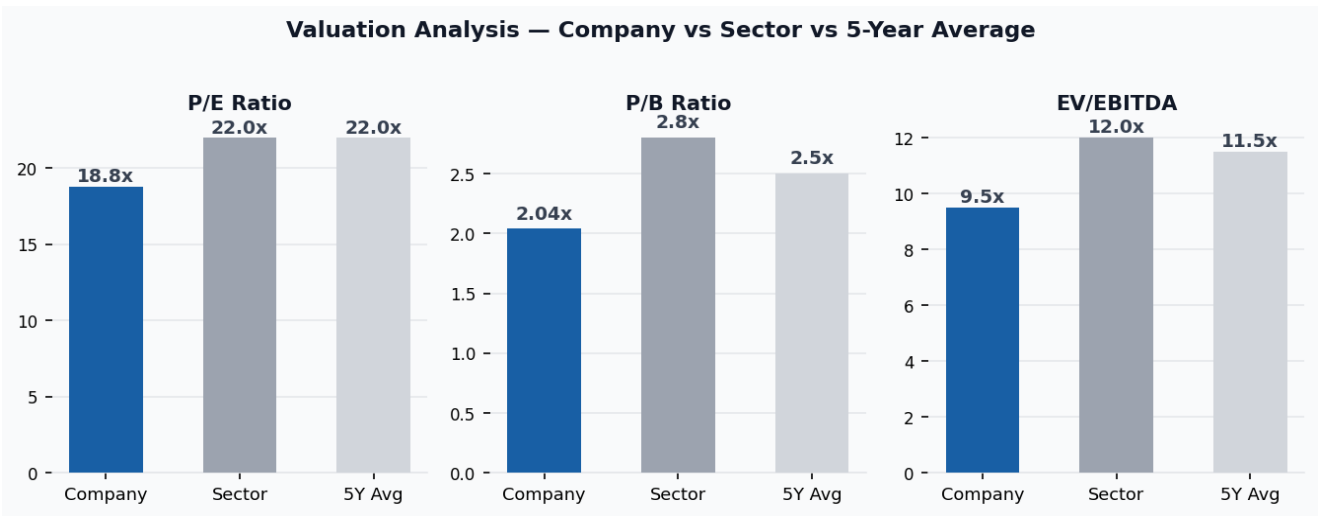
1. Revenue & Net Profit Trend (FY21–FY26E)

RIL's consolidated revenue has grown from ₹4.9L Cr in FY21 to an estimated ₹10.6L Cr in FY26, reflecting a ~17% revenue CAGR over 5 years, driven by Jio subscriber growth, Reliance Retail expansion, and a post-COVID energy demand rebound. Net profit has also grown but shows a slight dip in FY26E due to higher capex amortisation and margin pressure in the O&G; segment.



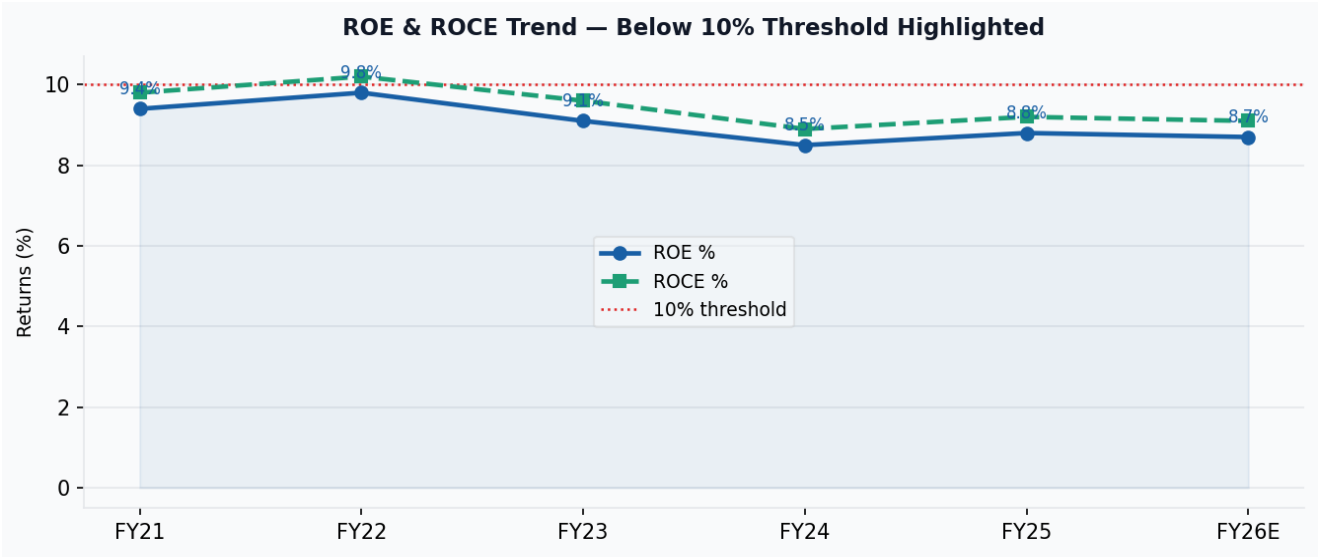
2. Valuation Analysis — P/E · P/B · EV/EBITDA vs Sector & 5-Year Average

On all three primary valuation multiples, RIL trades below both its sector median and its own 5-year historical average. P/E at 18.8x vs sector 22x and a 5Y avg of ~22x places the stock in "Fair to slightly cheap" territory. This compression partly reflects the near-term earnings softness and the market awaiting Jio IPO monetisation.

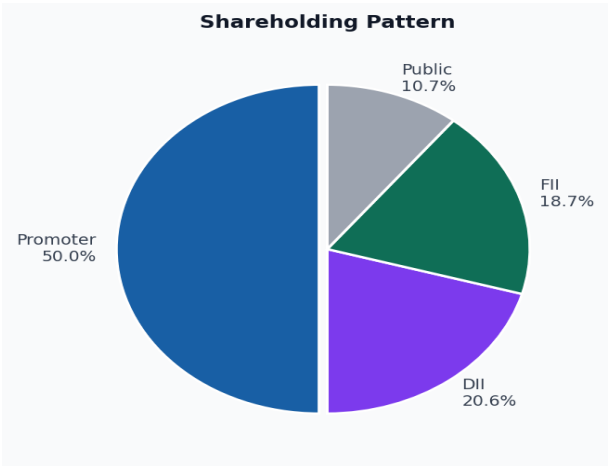


3. ROE & ROCE Trend (FY21–FY26E)

Return on Equity (ROE — measures profit earned per rupee of shareholder funds) and Return on Capital Employed (ROCE — measures efficiency of total capital usage) have both remained below the 10% threshold that typically signals good capital efficiency. This is a structural watch-point for a company of RIL's scale and is partly attributed to massive ongoing capex in green energy, AI infrastructure, and retail expansion compressing near-term returns.



4. Shareholding Pattern (Q1 FY27)



Shareholding Breakdown

Category	Holding %	QoQ Change
Promoter (Ambani family)	50.00%	Stable
DII (Domestic Inst.)	20.55%	+0.3%
FII / FPI	18.67%	-0.2%
Public / Retail	10.78%	Stable
Government	0.10%	Stable

Promoter Pledging: Not flagged as significant. No pledge concern.

FII trend: Marginal outflows over last 2Q — watch.

DII trend: Mild accumulation — supportive signal.

Source: Dhan.co · Screener.in · NSE

VALUATION ANALYSIS — DETAILED

Metric	RIL Value	Sector Median	5Y Own Avg	Verdict
P/E Ratio	18.8x	~22x	~22x	Fair / Slightly Cheap
P/B Ratio	2.04x	~2.8x	~2.5x	Fair
EV/EBITDA	~9.5x	~12x	~11.5x	Slightly Cheap
Dividend Yield	0.87%	~1.2%	~0.9%	In-line

Interpretation

RIL's current valuation sits below its own 5-year averages on all three multiples — a pattern consistent with the broader market re-rating of large-cap conglomerates post-FY24. The stock trading at a ~14% discount to its sector P/E is notable, though the lower ROE/ROCE somewhat justifies a lower multiple. The Jio IPO pipeline (DRHP filed June 2026) could act as a near-term catalyst for multiple re-rating.

Peer Comparison

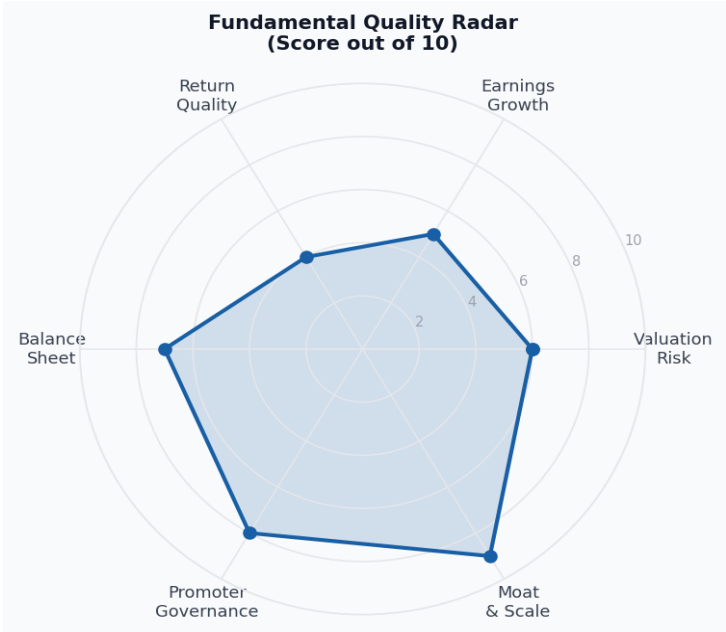
Company	CMP (₹)	Mkt Cap	P/E	P/B	ROE %	ROCE %	Rev CAGR 3Y	D/E
Reliance Ind. ★	1,334	■17.7L Cr	18.8x	2.04x	8.8%	9.2%	~7%	~0.7x
ONGC	269	■3.4L Cr	9.2x	1.0x	14.5%	13.8%	~5%	~0.3x
IOC	143	■2.0L Cr	8.5x	1.1x	12.2%	11.5%	~6%	~0.9x
BPCL	320	■1.4L Cr	11.2x	1.8x	18.5%	16.2%	~8%	~0.6x

Note: RIL trades at a premium P/E vs peers due to its diversified conglomerate structure (Retail + Telecom + O&G;) and significantly larger scale. PSU peers show stronger return ratios but carry different risk profiles. Peer data: Dhan, Tickertape (approx. Jun 2026).

RISK ASSESSMENT

Fundamental Quality Radar

Scores out of 10 across six key dimensions. Higher score = stronger fundamental quality on that axis. Scores are analytical assessments based on publicly available data — not predictions.



Dimension	Score /10	Assessment	Key Evidence
Moat & Scale	9/10	Strong	India #1 by rev; Jio 460M+ users; largest refinery complex
Balance Sheet	7/10	Healthy	D/E ~0.7x; interest coverage comfortable; investment grade
Valuation Risk	6/10	Moderate	Below 5Y avg — fair, but premium to PSU peers warrants watch
Earnings Growth	5/10	Moderate	Q4 FY26 PAT -12.6% YoY; capex cycle pressuring near-term profit
Return Quality	4/10	Weak	ROE 8.8% · ROCE 9.2% — both below 10% threshold for 3Y+
Promoter Gov.	8/10	Good	Stable 50% holding; succession announced; no pledge concern

Strengths

◆ Scale & Diversification

Largest Indian private conglomerate across O&G;, Retail, Telecom — reduces single-sector downside risk significantly.

◆ Jio Value Unlock

DRHP filed June 19, 2026 for Jio Platforms IPO (up to 27 Cr fresh shares). Telecom arm could unlock substantial embedded value.

◆ Revenue Trajectory

4-quarter consecutive top-line growth at ~4.6% QoQ. █10.6L Cr TTM revenue — consistent business engine.

◆ Green Energy Bet

█2L Cr Andhra data centre cluster + \$3B green ammonia deal with Samsung C&T; signals bold long-duration capital allocation.

◆ Succession Clarity

Mukesh Ambani (age 69) announced succession nearly complete — reduces key-man risk at governance level.

Watch-Points

■ ROE & ROCE Below 10% (3Y+)

Capital returns are weak for a company of this scale. Sub-10% ROE/ROCE for 3+ consecutive years is a structural red flag; warrants monitoring for improvement.

■ Q4 FY26 Earnings Weakness

Net profit declined ~12.6% YoY and ~9% QoQ in the latest quarter. Near-term earnings visibility is clouded by rising capex and margin compression in refining.

■ Low Dividend Payout

Payout ratio of just 7.4% of profits and ₹6/share dividend signal aggressive reinvestment — positive long-term but reduces income for yield-seeking stakeholders.

■ FII Marginal Outflows

FII holding dipped slightly over last 2 quarters. While not alarming, sustained foreign outflows could pressure stock price near-term.

CUSTOM SKILL CREATION — DOCUMENTATION

What Was Built

The stock-fundamental-research skill was upgraded from a 12-line stub into a comprehensive 250-line SKILL.md with a bundled deep-dive HTML template (18KB). The skill now functions as a complete equity research assistant for Indian listed stocks (NSE/BSE).

Trigger Description (Frontmatter)

Covers 15+ trigger phrases including "analyze", "deep dive", "compare", "PE ratio", "portfolio fit", "ROE", "ROCE", and casual mentions of company names. Designed to fire reliably without over-triggering.

desc: "Use this skill for ANY request involving Indian stock analysis..."

Core Rules (§0)

Encodes all 7 mandatory rules: live data first, never fabricate, cite every figure, no buy/sell/hold, no predictions, plain English with jargon explained, always include price chart.

Rule 2: If unavailable: ■ Data unavailable – verify at [source]

Research Checklist (§2)

40+ data points organized into 8 sections: Snapshot, Valuation, Growth, Quarterly Pulse, Cash Flow, Health, Returns, Ownership, Moat, News. Ensures nothing is missed.

Sections: CMP · P/E · P/B · EV/EBITDA · ROE · ROCE · D/E · FCF · Promoter · FII/DII

Interpretation Rules Table (§3)

Exact color-coded thresholds for D/E, Interest Coverage, Current Ratio, FCF, ROE/ROCE, and Growth labels. Claude always applies consistent verdicts.

ROE: >15% Good | 10–15% Average | <10% Weak

5 Output Mode Templates (§4)

Quick Take (150–220 words), Deep Dive (8-tab HTML), Compare (side-by-side), Pros & Cons, Portfolio Fit — each with precise structure and word counts.

Deep Dive tabs: Snapshot · Valuation · Growth · Health · Returns · Peers · Ownership · View

Data Fetching Strategy (§5)

Priority-ordered URL patterns for Screener → Tickertape → Moneycontrol → NSE → BSE. Mandates cross-checking ≥2 sources for key figures.

URL: https://www.screener.in/company/{TICKER}/

TradingView Chart Embed (§6)

Reusable HTML snippet for any NSE/BSE ticker. Weekly interval, Indian timezone, light theme. Exchange prefix handling (NSE: vs BSE:).

symbol: "NSE:HDFCBANK" · interval: "W" · timezone: "Asia/Kolkata"

Deep Dive HTML Template (assets/)

18KB tabbed HTML template with 8 tabs, all {{PLACEHOLDER}} tokens, TradingView embed, ownership bar chart, quality boxes, and disclaimer. Ready to fill with live data.

File: assets/deep-dive-template.html · Tokens: {{CMP}} {{PE}} {{ROE}} ...

OVERALL FUNDAMENTAL QUALITY: MODERATE

Reliance Industries is a fortress by scale — India's largest private company and a genuine conglomerate with irreplaceable infrastructure across energy, retail, and telecom. The upcoming Jio IPO and ambitious green energy / AI capex paint a compelling long-duration story. However, ROE and ROCE have remained below 10% for 3+ years, and recent quarterly earnings show weakness. Growth is present; capital efficiency needs improvement for the quality rating to upgrade to Strong. Key metric to watch: ROE trajectory as capex cycle matures.

IMPORTANT DISCLAIMER

This report is a view of the fundamentals for educational purposes only. It is NOT investment advice and NOT a buy/sell/hold recommendation. No target price has been provided. All figures must be independently verified before making any financial decision. Market investments are subject to risk. Past performance is not indicative of future results. The final decision is entirely yours. This report was generated by an AI system (Claude / Anthropic) using publicly available data — errors and omissions may exist. Data was cross-checked across Screener.in, Dhan.co, ICICI Direct, INDmoney, and StockInvest.us as of June 19–20, 2026.